SOVEREIGN STABLECOINS

Wyoming's Frontier Token, North Dakota's Roughrider Coin, and the Future of State-Issued Digital Money

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ABSTRACT

For the first time since the nineteenth century, American states have begun to put their own dollar-denominated money into circulation. In August 2025 Wyoming deployed the Frontier Stable Token (FRNT), the first fiat-backed stablecoin issued by a unit of American government; in October 2025 the Bank of North Dakota—the only state-owned bank in the country—announced the Roughrider Coin, a wholesale settlement token built for the State's community banks. Both were made possible, or at least permitted, by the federal Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025 (the GENIUS Act), whose definition of "person" appears to leave a government issuer outside the federal framework entirely. This Article offers the first sustained legal treatment of state-issued stablecoins. It situates the two coins within a longer history of monetary federalism, dissects how each is designed and how they differ—Wyoming's retail, multi-chain, commission-issued token against North Dakota's wholesale, permissioned, state-bank model—and then takes up the risks the experiments raise: run and reserve risk; the fiscal and sovereign-immunity exposure of the issuing State; a dormant but serious constitutional question under Article I's prohibition on state "Bills of Credit"; the regulatory fragmentation and the central-bank-digital-currency politics that surround them; anti-money-laundering, sanctions, and resolution gaps; and the operational hazards of small public agencies running money infrastructure across public blockchains. The Article argues that Wyoming's narrow, fully reserved, independently custodied, surplus-to-schools design is the most defensible template yet built, and that North Dakota's wholesale model is the better justified of the two—but that neither supplies a persuasive case for general replication. With a robust federal framework now governing private issuers, the marginal public benefit of a state coin is thin, the fiscal, constitutional, and operational risks are real, and a patchwork of fifty state currencies would re-create the very fragmentation the National Bank Acts were enacted to cure. The Article closes with design principles for the States that proceed anyway and a proposed federal clarification of the government-issuer gap.

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Introduction

On a Tuesday morning in August 2025, the State of Wyoming did something no American government had done in roughly a century and a half: it issued its own money. The instrument was not a coin struck in metal or a note printed on paper but a digital token—the Frontier Stable Token, ticker FRNT—deployed simultaneously across seven public blockchains and redeemable, the State promised, for one United States dollar held in trust.[1] Two months later, the only state-owned bank in the United States—the Bank of North Dakota, a relic of Progressive-era populism that has operated continuously since 1919—announced a stablecoin of its own, the Roughrider Coin, built to move money between the State's community banks in minutes rather than days.[2] A third State, South Dakota, sits between them geographically and at the opposite pole in policy: it has no state token, has enacted laws against a central bank digital currency, and twice declined even to hold bitcoin in its treasury.[3] The neighboring Dakotas have become mirror images in the politics of public money.

These are not isolated curiosities. They are the leading edge of a development that American monetary law has not had to confront since the Civil War: the return of the State as an issuer of circulating money. The catalyst is partly technological—public blockchains make it cheap for any sufficiently motivated issuer to mint a dollar-denominated token—and partly political, the product of a decade in which Wyoming and a handful of other States rebranded themselves as

[1]The token was deployed to mainnet on or about August 18, 2025 and announced publicly on August 19, 2025; it was made available for purchase by the general public on January 7, 2026. *See infra* Part III.C. The seven networks were Arbitrum, Avalanche, Base, Ethereum, Optimism, Polygon, and Solana.

[2]*See* Bank of N.D., *Bank of North Dakota and Fiserv Partner to Launch Roughrider Coin* (Oct. 8, 2025); *infra* Part IV.

[3]South Dakota enacted statutes in 2024 barring state agencies from accepting a central bank digital currency and excluding such a currency from the Uniform Commercial Code definition of money, and its legislature twice rejected proposals to invest state funds in bitcoin. *See infra* Part IV.E. Because the Roughrider name evokes Theodore Roosevelt's Rough Riders—and because Roosevelt ranched in the North Dakota Badlands, where the State's highest honor is the Theodore Roosevelt Rough Rider Award—the coin is sometimes mistakenly associated with South Dakota and Mount Rushmore. It is a North Dakota instrument.

havens for digital assets.[4] But the proximate cause is a federal statute. The Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025—the GENIUS Act—supplied the first comprehensive federal framework for payment stablecoins, and in doing so both legitimized the instrument and, through a quiet definitional choice, appeared to leave stablecoins issued by a government entirely outside its reach.[5] The same Congress that was on the verge of prohibiting a federal central bank digital currency thus opened a lane in which the States could issue public digital dollars of their own.

This Article is the first sustained legal study of that development. Three claims organize it. First*,* state-issued stablecoins are a genuine novelty, not a marketing gloss on private crypto. A government that mints a token it promises to redeem at par is doing something categorically different from a State that merely licenses a private issuer, and something that implicates constitutional and fiscal questions a private issuer never reaches. The novelty is underscored by the near-total absence of scholarship: as of mid-2026 there is no law-review treatment of state-issued stablecoins, only practitioner alerts and a pair of perceptive blog posts.[6]

Second*,* Wyoming and North Dakota embody two categorically different models, and the difference matters for risk and legitimacy alike. Wyoming's FRNT is a retail instrument: issued by a purpose-built state commission, distributed to the public through licensed exchanges, deployed across seven permissionless blockchains, and pitched at consumers, remitters, and the

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[4]Wyoming has enacted more than forty digital-asset statutes since 2018, including its decentralized-autonomous-organization and special-purpose-depository-institution laws. *See infra* Part I.C.

[5]Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025, Pub. L. No. 119-27 (2025) [hereinafter GENIUS Act]; *see id.* § 2(24); *infra* Part II.B. The President signed the Act on July 18, 2025; section references throughout are to the enrolled bill, S. 1582, 119th Cong. (2025).

[6]The most useful early commentary is David Krause, *The GENIUS Act and State-Issued Stablecoins Raise Important Issues of Federalism*, CLS Blue Sky Blog (Sept. 11, 2025) [hereinafter Krause, *Issues of Federalism*], and David Krause, *The GENIUS Act and North Dakota's Roughrider Coin: State Stablecoins and the Risk of Digital Fragmentation*, CLS Blue Sky Blog (Nov. 4, 2025) [hereinafter Krause, *Risk of Digital Fragmentation*]; *see also* Geeta Minocha, *RoughriderCoin and the Limitations of Stablecoins in Public Banking*, CLS Blue Sky Blog (Apr. 17, 2026).

world. North Dakota's Roughrider Coin is a wholesale instrument: issued through a century-old public bank, confined to a closed network of in-state financial institutions, and built on a vendor's permissioned platform. One State has fashioned a new organ of government to put public money in private hands; the other has bolted a token onto an existing public bank to speed payments among banks. Their risk profiles diverge accordingly.

Third, both experiments have outrun the law that governs them. The GENIUS Act did not decide whether it reaches a government issuer; it simply omitted governments from its operative definitions, leaving a federalism gap that no court or agency has yet filled. Beneath that statutory gap lies a constitutional one that has lain dormant since the Jacksonian era: Article I forbids any State to "emit Bills of Credit," and the Marshall and Taney Courts left behind a doctrine — *Craig v. Missouri* and *Briscoe v. Bank of Kentucky* — that a fully reserved, redeemable state token both invokes and, perhaps, evades.[7] Add to these the fiscal exposure of the issuing State, the unsettled reach of sovereign immunity, the anti-money-laundering and resolution gaps the GENIUS Act papered over, and the operational hazards of a small agency running money across public chains, and the experiments present a dense thicket of unresolved questions.

The Article proceeds in six parts. Part I recovers the history—the nineteenth-century world of state bank notes that the National Bank Acts extinguished, and the modern lineage of proposals that culminated in Wyoming's and North Dakota's coins. Part II analyzes the GENIUS Act and the government-issuer gap at its center. Parts III and IV are the case studies: Wyoming's Frontier Stable Token and North Dakota's Roughrider Coin, each described in operational detail and set against South Dakota's refusal. Part V catalogs the risks—run, fiscal, constitutional, regulatory, illicit-finance, and operational. Part VI asks what should be done and answers the question the

[7]U.S. Const. art. I, § 10, cl. 1; *see infra* Part V.C (analyzing *Craig v. Missouri* and *Briscoe v. Bank of the Commonwealth of Kentucky*).

project ultimately poses: should other States follow? The answer, defended at length, is a qualified no. Wyoming and North Dakota are laboratories worth watching; they are not a bandwagon worth joining.

I. The Return of State Money

The idea that a State might issue money strikes the modern ear as faintly unconstitutional, and for good reason: Americans have lived for a century and a half in a monetary order in which the issuance of circulating currency is a federal monopoly. But that order was a deliberate nineteenth-century achievement, not a feature of the original constitutional design, and the state-issued stablecoin is best understood as a partial return of something the United States once had and chose to abolish. This Part sketches the taxonomy of the new instruments, recovers the historical backdrop against which they must be assessed, and traces the modern lineage of proposals.

A. A Taxonomy of State Digital Money

Not every "state crypto" initiative is the same thing, and the differences are analytically decisive. Three axes matter. The first is the identity of the issuer: a token may be issued by a government entity itself—a commission, a state-owned bank—or merely by a private company that a State has chartered or licensed. Only the former raises the distinctive constitutional and fiscal questions this Article takes up; a privately issued, state-regulated stablecoin is, for federal-law purposes, simply a private stablecoin under state supervision.[8] The second axis is the nature of the backing: a token may be pegged to and redeemable for fiat currency (a true "stablecoin" in the GENIUS Act's sense) or backed by a commodity such as gold. The third is the intended user: retail (consumers and businesses transacting at large) or wholesale (financial institutions settling among themselves).

[8] Under the GENIUS Act, a private company "legally established under the laws of a State and approved to issue payment stablecoins by a State payment stablecoin regulator" is a "State qualified payment stablecoin issuer" and is fully within the federal framework. GENIUS Act § 2(31). A government issuer is not. *See infra* Part II.B.

These axes sort the field. Wyoming's Frontier Stable Token is government-issued, fiat-backed, and retail. North Dakota's Roughrider Coin is government-issued (through a state bank), fiat-backed, and wholesale. Texas's failed 2023 proposal for a gold-and-silver-backed "transactional currency" was government-sponsored but commodity-backed—and therefore not a payment stablecoin at all in the federal sense, which keys on redemption for a fixed amount of monetary value rather than a fixed weight of metal.[9] South Dakota issues nothing. Table 1 arrays the field; the remainder of this Article concentrates on the two live government-issued, fiat-backed coins, because they are where the novel questions live.

State	Instrument / issuer	Backing	Rails & audience	Status (mid-2026)
Wyoming	Frontier Stable Token (FRNT); Wyoming Stable Token Commission	Cash + U.S. Treasuries ≤365 days; ≥100% (102% sweep)	Seven public blockchains; retail / global	Live; public sale Jan. 2026
North Dakota	Roughrider Coin; Bank of North Dakota with Fiserv	U.S. dollars + Treasuries ≤93 days; 1:1	Permissioned platform; in-state banks	Pilot; target launch Sept. 2026
Texas	Gold-backed "transactional currency" (H.B. 4903)	Physical gold / silver; 100%	State depository; legal tender	Failed in committee, 2023
South Dakota	None (anti-CBDC posture)	n/a	n/a	No state token; anti-CBDC laws (2024)

Table 1. State-sponsored digital-money initiatives, by issuer, backing, and status.

B. The Nineteenth-Century Backdrop

The constitutional text bearing on state money is spare and old. Article I, Section 10 forbids any State to "coin Money," to "emit Bills of Credit," or to "make any Thing but gold and silver Coin a Tender in Payment of Debts."[10] The Framers, fresh from the ruinous wartime inflation of the Continental and state paper currencies, meant to drive the States out of the business of issuing

[9] H.B. 4903, 88th Leg., Reg. Sess. (Tex. 2023), and its companion S.B. 2334, would have directed the Comptroller to establish a digital currency fully backed by, and redeemable in, gold or silver held in the Texas Bullion Depository. Both bills died in committee. A commodity-redeemable token is not a "payment stablecoin" under the GENIUS Act, which defines the term by reference to redemption "for a fixed amount of monetary value." GENIUS Act § 2(22).
[10] U.S. Const. art. I, § 10, cl. 1.

fiat money. Yet for most of the nineteenth century the States found their way back in by indirection, chartering banks—often with the State as a shareholder—whose notes circulated as the ordinary currency of commerce. By the eve of the Civil War, thousands of distinct state bank notes traded at varying and uncertain discounts, counterfeiting was rampant, and a traveler crossing state lines could not be sure what his money was worth.[11]

Congress cured that fragmentation deliberately and forcibly. The National Currency Act of 1863 and the National Bank Act of 1864 created federally chartered national banks and a uniform national currency, and an 1865 tax of ten percent on state bank notes drove them out of circulation within a few years—a constitutional exercise of the taxing power that the Supreme Court upheld in *Veazie Bank v. Fenno*.[12] The achievement was the uniform dollar that Americans have taken for granted ever since. It is no small irony that the state-stablecoin revival has prompted at least one observer to recall that the last great episode of monetary fragmentation—the free-banking era—was resolved only by "a Civil War and constitutional crisis."[13] Whether digital state money re-creates that fragmentation or remains a contained experiment is among the questions this Article presses.

[11]The standard account remains Bray Hammond, *Banks and Politics in America from the Revolution to the Civil War* (1957); *see also* Gary B. Gorton & Jeffery Y. Zhang, *Taming Wildcat Stablecoins*, 90 U. Chi. L. Rev. 909 (2023) (drawing the analogy between antebellum private bank notes and modern stablecoins). The broader stablecoin-law literature is by now substantial. *See, e.g.,* Dan Awrey, *Bad Money*, 106 Cornell L. Rev. 1 (2021); Dan Awrey, *Beyond Banks: Technology, Regulation, and the Future of Money* (2024); Hilary J. Allen, *DeFi: Shadow Banking 2.0?*, 64 Wm. & Mary L. Rev. 919 (2023); Adam J. Levitin, *Not Your Keys, Not Your Coins: Unpriced Credit Risk in Cryptocurrency*, 101 Tex. L. Rev. 877 (2023) [hereinafter Levitin, *Not Your Keys*]; Christopher K. Odinet, Andrea Tosato & Yesha Yadav, *The Moneyness of Stablecoins* (forthcoming Yale L.J.). None, however, addresses the distinct questions raised by a *government* issuer.

[12]Veazie Bank v. Fenno, 75 U.S. (8 Wall.) 533 (1869) (upholding the 10% federal tax on state bank notes as a valid means of restraining state-issued currency). On the National Bank Acts as a response to monetary fragmentation, *see* Gorton & Zhang, *supra*.

[13]Krause, *Risk of Digital Fragmentation*, *supra* (analogizing divergent state stablecoins to the antebellum free-banking era and observing that the resulting fragmentation "required a Civil War and constitutional crisis to achieve" resolution through the National Banking Acts).

C. The Modern Lineage of Proposals

Wyoming's coin did not spring from nothing. Beginning in 2018, the State enacted a remarkable run of digital-asset legislation—recognizing decentralized autonomous organizations, creating a bespoke special-purpose depository institution charter, and clarifying the property status of digital assets—that made it the most crypto-friendly jurisdiction in the country and built the political coalition that would later carry the stablecoin.[14] The stable-token idea itself first passed the legislature in the 2022 budget session, as Senate File 0106, only to be vetoed by Governor Mark Gordon, who doubted the Treasurer's office could absorb the new burden and questioned whether a state-issued, publicly traded cryptocurrency might offend the Wyoming Constitution's limits on state involvement in private enterprise.[15]

The legislature returned the next year with a redrafted bill, Senate File 0127, the Wyoming Stable Token Act. Governor Gordon allowed it to become law without his signature on March 17, 2023, and Wyoming became the first State in the Union to authorize a stablecoin of its own.[16] The Act gave the new Wyoming Stable Token Commission until the end of 2023 to endeavor to issue a token and seeded it with a half-million-dollar appropriation; a 2024 amendment added a larger appropriation and refined the permitted-reserve rules.[17] North Dakota arrived at the same

[14]*See, e.g.,* Wyo. Stat. Ann. §§ 13-12-101 to -126 (special-purpose depository institutions); *id.* §§ 17-31-101 to -116 (decentralized autonomous organizations). The Wyoming Stable Token Commission has described the stable token as the State's "second fully-reserved" financial instrument, after the SPDI charter.

[15]Governor Gordon vetoed S.F. 0106 on March 25, 2022, observing that he was "unconvinced that this camel can carry even one more straw" and that it was not "entirely clear" the issuance of a state cryptocurrency "backed by assets held by Wyoming taxpayers, yet traded by others, would not run afoul of Article 16, Section 6 of the Wyoming Constitution." The state-law concern under article 16, section 6 is distinct from—and additional to—the federal Bills of Credit question discussed *infra* Part V.C.

[16]Wyoming Stable Token Act, Wyo. Stat. Ann. §§ 40-31-101 to -110 (2023), enacted as 2023 Wyo. Sess. Laws (Senate Enrolled Act 85, originating as S.F. 0127); *see* Wyo. Stable Token Comm'n, *Frontier Stable Token Factbook* (2026 Budget Session) [hereinafter *Factbook*]. The earlier, vetoed version was S.F. 0106 (2022); reporting that refers to a 2022 "House Bill 0057" is mistaken.

[17]*See* Wyo. Stat. Ann. § 40-31-105 (issuance mandate); 2024 Wyo. Sess. Laws (Senate Enrolled Act 44) (appropriating approximately $5.8 million and clarifying permitted reserve assets). The 2023 Act included a $500,000 startup appropriation.

destination by a different road. It did not need to invent an issuer: it already owned a bank. The rest of the country flirted with the idea—Texas's gold-backed proposal, study bills elsewhere—but only Wyoming and North Dakota crossed from authorization to issuance. Figure 1 places the key events in sequence.

Figure 1. Selected developments in U.S. state digital money, 2022–2026. North Dakota events are shown in clay; Wyoming and federal events in slate.

Two features of this lineage deserve emphasis before turning to the federal statute that frames it. The first is that the state-money revival is bound up with the politics of the central bank digital currency. Wyoming and North Dakota officials alike present their tokens not as steps toward government digital money but as the free-market alternative to it—even as both, in plain fact, are government digital money.[18] The second is that, unlike the nineteenth-century episode, today's state issuers operate against a federal statute that purports to govern stablecoins comprehensively—yet, as the next Part shows, may not govern *them* at all.

[18]Wyoming enacted a statute prohibiting a central bank digital currency in 2025 (H.B. 0264) even as it launched FRNT, and Commission officials describe the token as occupying a "different lane" from a CBDC. *See infra* Part III.D and Part V.D. On the broader CBDC politics, *see* Exec. Order No. 14,178, *Strengthening American Leadership in Digital Financial Technology* (Jan. 23, 2025).

II. The GENIUS Act and the Government-Issuer Gap

The GENIUS Act, signed on July 18, 2025, is the first federal statute to regulate payment stablecoins as such. Its architecture is the indispensable backdrop to both case studies, because it simultaneously legitimized the private stablecoin, set the prudential standards against which any responsible issuer—public or private—will be measured, and, through a definitional choice at its core, left state-government issuers in a regulatory void.

A. The Federal Framework for Private Issuers

The Act makes it unlawful for "any person" to issue a payment stablecoin in the United States unless that person is a "permitted payment stablecoin issuer."[19] Permitted issuers come in three kinds: subsidiaries of insured depository institutions; "Federal qualified" nonbank issuers approved by the Office of the Comptroller of the Currency (or uninsured national banks it charters); and "State qualified" issuers approved by a state regulator.[20] On the prudential side, the Act requires reserves backing the outstanding stablecoins "on an at least 1 to 1 basis," composed of cash, insured demand deposits, short-dated Treasury bills (with remaining maturities of ninety-three days or less), short-term Treasury repurchase agreements, and government money market funds; it forbids rehypothecation of those reserves; it mandates monthly public disclosure of reserve composition, certified by senior management; and—critically for the analysis below—it prohibits any issuer from paying "interest or yield" to a stablecoin holder.[21] The Act also forecloses any suggestion of a public backstop: a payment stablecoin is not insured by the Federal Deposit

[19] GENIUS Act § 3(a).

[20] *Id.* §§ 2(23), 2(11), 2(31). The three-tier structure deliberately preserves a role for state regulators, in the tradition of the dual banking system.

[21] *Id.* § 4(a)(1)(A) (reserves), § 4(a)(2) (no rehypothecation), § 4(a)(11) ("No permitted payment stablecoin issuer… shall pay the holder of any payment stablecoin any form of interest or yield… solely in connection with the holding, use, or retention of such payment stablecoin."). The reserve menu deliberately tracks the most liquid, shortest-duration safe assets.

Insurance Corporation, is not guaranteed by the United States, and may not be marketed as though it were.[22]

For state-qualified issuers, the Act builds a federalism compromise around a dollar figure. A state-regulated issuer may remain under its state regime only so long as its consolidated outstanding issuance does not exceed ten billion dollars; above that line it must, within 360 days, either transition to the federal regime or stop issuing new tokens, unless it obtains a waiver.[23] And the state regimes themselves must be certified as "substantially similar" to the federal framework by a new Stablecoin Certification Review Committee—the Secretary of the Treasury, the Chair of the Federal Reserve, and the Chair of the FDIC—with Treasury issuing the governing principles by rule; it proposed those principles in the spring of 2026.[24]

B. The Definition of "Person" and the Government-Issuer Gap

All of this elaborate machinery binds a "person." And there the Act contains a gap large enough to drive a State through. The defined term "person" means "an individual, partnership, company, corporation, association, trust, estate, cooperative organization, or other business entity, incorporated or unincorporated."[25] A State is conspicuously absent from that enumeration—all the more conspicuously because the Act *separately* defines "State" elsewhere and uses the two terms distinctly throughout.[26] Because the prohibition in Section 3(a) and the permitted-issuer regime alike operate only on a "person," the most natural reading is that a stablecoin issued directly by a

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[22] *Id.* § 4(e); *see also infra* Part V.E (resolution).

[23] GENIUS Act § 4(c)(1), (d). A waiver permits an over-threshold issuer to remain solely state-supervised on enumerated criteria. *Id.* § 4(d)(3).

[24] *Id.* §§ 2(27), 4(c)(2), (4). The Department of the Treasury issued a notice of proposed rulemaking on the "substantially similar" principles in April 2026. The Act takes effect on the earlier of eighteen months after enactment (approximately January 18, 2027) or 120 days after the primary federal regulators issue final implementing rules. *Id.* § 20.

[25] GENIUS Act § 2(24).

[26] *Id.* § 2(28) (defining "State" to include the several States, the District of Columbia, and the territories). The operative prohibition in § 3(a) runs against a "person," not a "State."

State or a state instrumentality—the Wyoming Stable Token Commission, the Bank of North Dakota—falls outside the Act altogether: neither prohibited nor required to become a "permitted" issuer, neither capped at ten billion dollars nor subject to the federal reserve and disclosure rules.

Wyoming has embraced exactly this reading. The Commission's executive director has argued publicly that the Act's issuer definitions reach "banks, trusts, fintech companies, and other commercial entities" but that "the term 'state' or 'sovereign entity' is never mentioned throughout the entire bill," so that the federal framework simply does not apply to FRNT.[27] The leading academic commentator agrees on the descriptive point, observing that "[t]he GENIUS Act's most significant federalism provision appears in its definition of 'person,' which explicitly excludes state governments from federal stablecoin regulations," and describing the result as "a parallel regulatory universe where state-issued stablecoins and private alternatives operate under entirely different rules"—a "regulatory floor rather than a ceiling."[28]

Two cautions are in order, because the point is easy to overstate. First, the exemption is an *inference from silence*, not an express carve-out. Nothing in the Act says "this Act does not apply to state governments"; the conclusion rests entirely on the omission of governments from the "person" definition. A future Treasury rulemaking, or litigation, could test that inference—though the structural argument for it is strong. Second, even on the exemption reading, the Act reaches state-issued tokens *indirectly*. Section 3(b) makes it unlawful, after a transition period, for a "digital asset service provider"—an exchange, a custodian—to offer or sell a stablecoin that is not

[27] *See* Anthony Apollo, Exec. Dir., Wyo. Stable Token Comm'n, public remarks (2025) (as reported); *see also* Wyo. Stable Token Comm'n, *Factbook*, *supra* (positioning FRNT to "coexist" with rather than comply under the GENIUS Act).

[28] Krause, *Issues of Federalism*, *supra*. Professor Krause characterizes FRNT as "the most completely government-controlled stablecoin experiment in U.S. history."

issued by a permitted issuer.[29] If that provision were read to bar regulated intermediaries from listing a government-issued coin that is not itself a "permitted" issuer, the practical distribution of a state token through exchanges like the ones Wyoming relies on could be choked even though the State itself is exempt. The gap, in other words, is real but unstable—an in-between status that invites precisely the litigation and rulemaking the Act was supposed to forestall.

C. Fragmentation and the "Parallel Monetary Universes" Problem

The government-issuer gap is not merely a technical lacuna; it is the seam along which the monetary order could splinter. If each State that wishes to may issue its own public token on its own rails under its own rules, the country risks re-creating in digital form the very patchwork the National Bank Acts abolished—"parallel monetary universes" with "potentially incompatible technical and regulatory architectures."[30] There is, too, the familiar fear of a regulatory "race to the bottom," in which States compete to attract issuance by relaxing standards. The GENIUS Act's "substantially similar" certification disciplines that race for *private* state-qualified issuers; it does nothing to discipline a State that issues a coin itself. That asymmetry—private state issuers tightly federalized, public state issuers entirely free—is the structural oddity at the heart of the new regime, and it frames every risk taken up in Part V.

[29]GENIUS Act § 3(b). The provision binds the *intermediary*, not the issuer; its application to a government-issued token distributed through licensed exchanges is unresolved and could become an important indirect constraint. *See infra* Part V.D.

[30]Krause, *Risk of Digital Fragmentation*, *supra*. The point is not that a Wyoming dollar will trade at a discount to a North Dakota dollar—each is redeemable for a federal dollar—but that incompatible standards, redemption mechanics, and freeze authorities across issuers would erode the uniformity that is money's most valuable property.

III. Case Study One: Wyoming's Frontier Stable Token

Wyoming's Frontier Stable Token is the most fully realized state-issued stablecoin in the United States, and the most instructive. It is also, as the data below show, astonishingly small. This Part describes the statutory architecture, the operational mechanics, the launch and adoption, and the politics.

A. The Statute and the Commission

The Wyoming Stable Token Act created a new organ of state government, the Wyoming Stable Token Commission, and defined the token narrowly. A Wyoming stable token is "a virtual currency representative of, and redeemable for, one (1) United States dollar held in trust by the state of Wyoming."[31] The Commission is "a body politic and corporate operating as an instrumentality of the state," with authority to issue, manage, and redeem the token and to "sue and be sued"—but the Act is at pains to limit the State's exposure, providing that the State, the board, and employees enjoy immunity from liability in connection with token transactions and, pointedly, that "[b]y creation of this trust, the state does not create any fiduciary duty to token holders."[32]

The Commission is small and politically heavyweight. Its seven voting members are the Governor (who chairs it), the State Treasurer, and the State Auditor—three statewide elected officials—plus four appointed subject-matter experts, among them a former general counsel of Circle, the issuer of USDC.[33] That concentration—the same officials who manage the State's

[31]Wyo. Stat. Ann. § 40-31-102; *see* Mayer Brown, *Wyoming Adopts Stable Token Legislation and Lays the Foundation for a Government-Issued Stablecoin* (2023).
[32]Wyo. Stat. Ann. §§ 40-31-103, -104, -106. The immunity and no-fiduciary-duty provisions are central to the fiscal-risk and sovereign-immunity analysis in Part V.B.
[33]The appointed members at launch included Joel Revill, David Pope, Flavia Naves (formerly general counsel of Circle Internet Financial), and Jeff Wallace. The ex officio members were Governor Mark Gordon (chair), Treasurer Curt Meier, and Auditor Kristi Racines. The Commission's inaugural executive director, Anthony Apollo, was appointed in September 2023.

permanent funds also superintend its stablecoin—is a recurring theme in the critical commentary, and a governance risk this Article returns to.[34] By statute, the surplus the project generates flows to a public purpose: investment earnings above the 102% reserve buffer are swept, ultimately, to the Wyoming School Foundation Program, which finances the State's public schools. Holders themselves receive no yield—an arrangement that, perhaps unintentionally, aligns FRNT with the GENIUS Act's prohibition on paying interest to stablecoin holders even as the Commission claims to fall outside the Act.[35]

B. How FRNT Works

FRNT is a fully reserved, fiat-backed token, and the reserve rules are the heart of its claim to safety. By statute the reserves may be held only in United States currency, in Treasury securities maturing in 365 days or less, and in Treasury repurchase agreements of thirty days or less; the Commission must keep at least 100% of the notional value of outstanding tokens in a dedicated trust account at all times, and any investment earnings above 102% of notional value are swept off to a separate administration account.[36] The reserves are managed by Franklin Advisers (part of Franklin Templeton) and custodied at Fiduciary Trust Company International, with monthly attestations by an independent accounting firm comparing reserves to outstanding tokens.[37] That

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[34]*See infra* Part V.F; *see also From Cattle to Crypto: How a Handful of Wyoming Officials Quietly Built a Global Stablecoin*, Disruption Banking (Nov. 25, 2025) [hereinafter *From Cattle to Crypto*] (criticizing the concentration of authority and the use of closed subcommittee deliberations).

[35]Wyo. Stat. Ann. § 40-31-106; Wyo. Stable Token Comm'n, *Factbook*, *supra*; *cf.* GENIUS Act § 4(a)(11) (barring any interest or yield to holders). This public-benefit design—profit to public schools rather than to private shareholders—is the most attractive feature of the Wyoming model and is examined in Part VI.

[36]Wyo. Stat. Ann. § 40-31-106(a)–(b). The "102%" figure is a Wyoming policy choice and a buffer; it is not a federal standard. The GENIUS Act requires only 1-to-1 reserves. The Wyoming menu is, if anything, more conservative than the federal menu on duration.

[37]The attestation firm is The Network Firm; the first attestation, as of October 31, 2025, was published November 17, 2025. The use of an *independent* reserve manager and custodian, rather than self-custody, is an important design strength. *See infra* Part VI.A.

a State publishes a monthly proof-of-reserves attestation for its currency is itself a small milestone in public finance.

On the technology side, FRNT lives on seven public blockchains at once, knit together as an omnichain token through LayerZero, with custody and key-management infrastructure supplied by Fireblocks and compliance analytics by Chainalysis and others.[38] The Commission does not sell to the public directly. It distributes tokens only to vetted "Licensed Service Providers"—exchanges, payment platforms, and banks that pass a know-your-business review—which in turn sell to end users after standard know-your-customer screening. A holder may redeem directly from the Commission only if no Licensed Service Provider is available.[39] Mint a token, a dollar goes into the trust; burn a token, a dollar comes out. The model is, in concept, a narrow bank that issues only fully backed claims and makes no loans—the antithesis of the fractional-reserve bank.

C. Launch and Adoption: Apparatus Without Usage

FRNT was deployed to mainnet in August 2025 and opened to public purchase on January 7, 2026.[40] And here the case study turns from law to arithmetic, because the most striking fact about FRNT is how little of it there is. As of the middle of 2026, the token's outstanding value was on the order of nine hundred sixty-five thousand dollars—under one million—spread across fewer than seventy holders, with monthly transfer volume of roughly a million and a half dollars

[38] *See* LayerZero, *A Stable Token with Statehood* (case study, 2025); the Commission selected its omnichain vendor after evaluating roughly thirty-one candidates. The reliance on a stack of private vendors for issuance, custody, and monitoring is examined as an operational risk in Part V.F.

[39] *See* Wyo. Stable Token Comm'n, *Factbook*, *supra*. At launch the principal distributors were the Kraken exchange (on Solana) and the Rain card platform (on Avalanche, integrating FRNT with Visa rails). Issuance and redemption operate through these intermediaries: a provider submits a request, dollars flow into (or out of) the trust, and tokens are minted (or burned).

[40] *See supra* note 1. The August 2025 deployment coincided with the Wyoming Blockchain Symposium in Jackson Hole, headlined by Governor Gordon and Senator Cynthia Lummis; the token became broadly purchasable through Kraken on Solana and Rain on Avalanche in January 2026.

concentrated almost entirely on a single blockchain.[41] The contrast with the project's own projections is arresting. The Commission's 2026 factbook contemplated a base case in which roughly five hundred million tokens would be in circulation within a budget cycle—more than five hundred times the current figure. Figure 2 sets the live number against the projection.

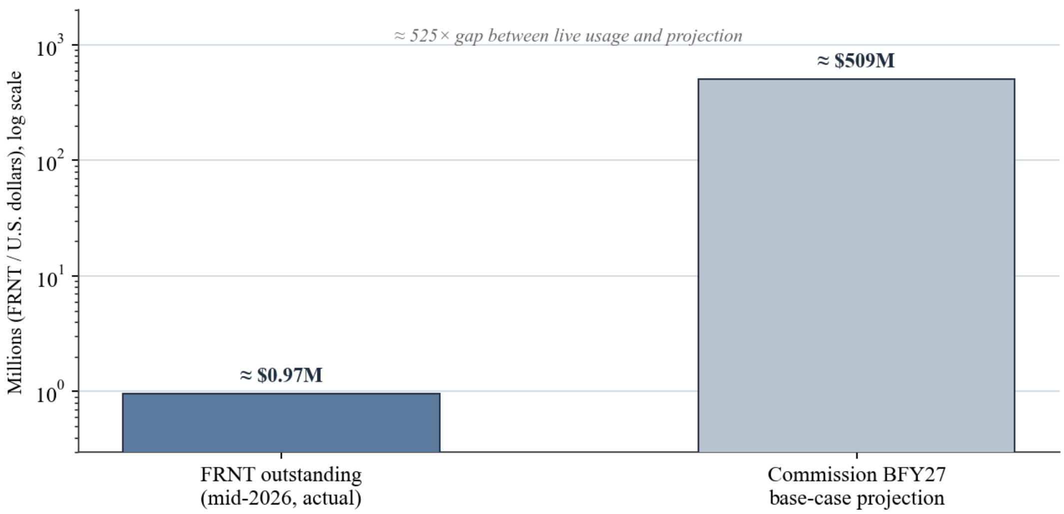

Figure 2. FRNT outstanding (mid-2026, actual) versus the Wyoming Stable Token Commission's base-case projection. Log scale.

This gap between apparatus and usage is not an incidental embarrassment; it is analytically central. A stablecoin under a million dollars in size, held by dozens of people, poses no systemic risk and threatens no one's fisc. The elaborate legal, custodial, and constitutional machinery this Article dissects is, at present, vastly out of proportion to the thing it governs. The right question is therefore not whether FRNT is dangerous today—it is not—but whether the model would remain sound if it reached the scale its creators envision, and whether other States, lacking Wyoming's decade of preparation, could replicate even its careful design. Both questions are taken up in Parts V and VI.

[41] Figures derived from on-chain analytics (RWA.xyz) as of June 2026 and necessarily approximate, as they move continuously. Of roughly $965,000 outstanding, the great majority of activity occurred on Solana; the near-equal balances seeded on the other six chains suggest test or bootstrap liquidity rather than organic demand. The token traded at approximately $0.9985 against the dollar.

D. Rationale and Criticism

Wyoming offers several rationales for the project. The first is revenue: interest on the reserves, net of operating costs, flows to the public schools, giving the State a new and politically attractive income stream to set against its dependence on mineral severance taxes. The second is brand: FRNT is the capstone of Wyoming's decade-long bid to be the nation's digital-asset capital. The third is ideological—the token as the market-based, fully reserved alternative to a federal central bank digital currency, a framing Wyoming reinforced by enacting its own anti-CBDC statute the same year.[42]

The criticism has been pointed. National figures have charged that a state-issued token is a central bank digital currency by another name—a "state CBDC"—notwithstanding Wyoming's insistence that a fully reserved, non-central-bank instrument is the opposite of one.[43] Closer to home, the president of the Wyoming Bankers Association predicted the token would prove a "passing fad" that conservative Wyomingites would never adopt, and investigative coverage has faulted the Commission for concentrating decisions in a few officials, deliberating in closed subcommittees, and contracting with Wall Street and Silicon Valley vendors while claiming to champion local banks.[44] Whatever the merits, the criticism underscores that a government stablecoin draws a kind of democratic scrutiny a private one never will—a feature, not a bug, but one that raises the stakes of getting the design right.

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[42]*See* 2025 Wyo. Sess. Laws (H.B. 0264) (prohibiting a central bank digital currency); Wyo. Stable Token Comm'n, *Factbook*, *supra* (citing federal pro-digital-asset policy, including Exec. Order No. 14,178, and framing FRNT as a buyer of Treasuries that supports dollar primacy). Senator Lummis, the leading congressional champion of stablecoin legislation, has been a prominent booster.

[43]Representative Tom Emmer, among others, has framed state-issued tokens as backdoor central bank digital currencies; Wyoming's rebuttal stresses full reserves, the absence of a central bank, and its own CBDC prohibition. The conceptual question—whether a government-issued, fully reserved retail token is meaningfully different from a CBDC—is genuine and is taken up in Part V.D.

[44]*See From Cattle to Crypto*, *supra*; *see also* Bloomberg and personal-finance press coverage (2025–26). At a May 2025 Commission meeting a member of the public went so far as to call the project a "literal Ponzi scheme," a characterization the design—full reserves, no promised yield to holders—does not support, but which captures the political temperature.

IV. Case Study Two: North Dakota's Roughrider Coin

If Wyoming had to build an issuer from scratch, North Dakota already owned one. The Roughrider Coin is the product of an institution found nowhere else in the United States—a state-owned bank—and it is built for an entirely different purpose than FRNT. Where Wyoming aimed at the public and the world, North Dakota aims at its own banks.

A. The Issuer: The Bank of North Dakota

The Bank of North Dakota is a monument to Progressive-era populism. Established in 1919 at the urging of the Nonpartisan League—a farmers' movement that distrusted out-of-state grain and banking interests—it is the only government-owned, general-service bank in the country, and it has operated continuously for more than a century.[45] It is governed by the North Dakota Industrial Commission—the Governor, the Attorney General, and the Agriculture Commissioner—and it functions in practice as a "bankers' bank," a wholesale partner that participates in the loans of the State's community banks and credit unions, supplies them liquidity, and runs interbank infrastructure.[46] That existing role is precisely what makes the Bank a natural stablecoin issuer: a wholesale settlement token plugs directly into plumbing the Bank already operates, without inventing a new government organ or putting public money directly into consumers' hands.

B. How the Roughrider Coin Works

The Roughrider Coin is dollar-backed one-to-one, with reserves the Bank describes as cash deposits and short-term Treasury notes of ninety-three days or less held by a financial institution—

[45]The Bank of North Dakota opened on July 28, 1919, with $2 million in capital, part of a Nonpartisan League legislative program that also created the North Dakota Industrial Commission and the State Mill and Elevator. *See* Bank of N.D., *Our Story* (history).

[46]The Industrial Commission's members in 2026 were Governor Kelly Armstrong (chair), Attorney General Drew Wrigley, and Agriculture Commissioner Doug Goehring. The Bank's president and chief executive, Don Morgan, a certified public accountant and former community-bank chief executive, was named in July 2024.

reserve mechanics that track the GENIUS Act's menu closely even though, as a government issuer, the Bank may not be bound by it.[47] The token is built on the digital-asset platform of Fiserv, the payments-technology company, using its FIUSD stablecoin technology; FIUSD in turn launched in 2025 on the Solana blockchain with issuance and reserve infrastructure supplied by Paxos and Circle and interoperability with PayPal's PYUSD.[48] Although the underlying FIUSD rails are public, the Roughrider Coin itself is deployed as a closed, permissioned, institution-only instrument: the Bank's own materials state that the general public cannot access or invest in it, and a leading commentator describes it as operating on a "proprietary platform (not a public blockchain)," in deliberate contrast to FRNT's seven open chains.[49]

The use case is wholesale and unglamorous, which is the point. The coin is meant to move money between banks—settling interbank obligations, merchant payments, and cross-border transfers—compressing settlement from days to minutes. A senior Bank official described it as "more of the back end, helping banks facilitate payments to each other," and the Bank's technology partner suggested that consumer accounts might come only as a "later use case."[50] The audience is the State's own community banks and credit unions—the Bank's existing customers—not the general public.

[47] *See* Bank of N.D., *Roughrider Coin* (frequently asked questions) (describing reserves as "deposits, no more than 93 days UST notes (1 to 1 with stablecoin)"); *cf.* GENIUS Act § 4(a)(1)(A). The named maturity ceiling deliberately mirrors the federal reserve menu.

[48] *See* Fiserv, *Fiserv Launches New FIUSD Stablecoin for Financial Institutions* (June 23, 2025); Roughrider Coin is described as "the first U.S. state stablecoin to launch on the Fiserv digital asset platform."

[49] *See* Bank of N.D., *Roughrider Coin* FAQ (public access: "No"); Krause, *Risk of Digital Fragmentation*, *supra* (describing the closed institutional model). The public-versus-permissioned characterization turns on emphasis—the rails are FIUSD/Solana, but the deployment is institution-only—and is best stated as a closed, permissioned deployment built on public rails.

[50] Rick Geloff, executive vice president, Bank of N.D. (Oct. 2025); Sunil Sachdev, Fiserv (Oct. 2025) (consumer accounts as a "later use case"). The headline corporate quotation accompanying the launch came from Fiserv's chief operating officer, Takis Georgakopoulos, who described combining "the reliability of traditional finance and the innovation of blockchain."

C. Status and Politics

As of mid-2026, the Roughrider Coin remains a pilot. The Bank announced it on October 8, 2025, the Industrial Commission authorized the Bank to develop it under a no-cost arrangement with Fiserv, and by the spring of 2026 about ten local banks had expressed interest in testing it, with a public launch targeted for September 2026.[51] The Bank frames the project as a defensive necessity. "The next generation of North Dakotans are going to be doing digital banking," the Governor said at launch; "the question is going to be whether they are doing it with us or they are doing it somewhere else."[52] Not everyone in state government is enthusiastic: the Agriculture Commissioner, one of the three Industrial Commission members who must bless the project, was reported to be "lukewarm" about the Bank's foray into digital assets—a reminder that even an institutionally grounded state coin is a political choice, not a technocratic inevitability.[53]

D. The GENIUS Act Posture: Within, Not Outside

North Dakota's legal posture differs instructively from Wyoming's. Where Wyoming claims to sit *outside* the GENIUS Act as a sovereign, the Bank of North Dakota presents the Roughrider Coin as built *within* the federal framework—designed to the Act's reserve, disclosure, and audit standards even if not strictly bound by them. "Congress has now put a framework around this," a senior Bank official said; "the train is leaving the station, and we need to be not only on the train, but we need to bring our local financial institutions along with us."[54] The divergence is itself revealing: presented with the same statutory gap, one State treated it as an exemption to be

[51] *See* Bank of N.D., *Roughrider Coin* press release, *supra*; North Dakota Monitor coverage (Mar. 2026) (reporting roughly ten interested institutions and a September 2026 target). The Bank's chief executive welcomed "a wide, diverse selection" of pilot banks. As of mid-2026 no live transaction volumes were public.

[52] Governor Kelly Armstrong (Oct. 2025); *see also id.* (describing the State's "cutting-edge approach to creating a secure and efficient financial ecosystem").

[53] *See* North Dakota Monitor, *Ag Commissioner Lukewarm on Bank of North Dakota's Foray into Stablecoin* (2026).

[54] Kelvin Hullet, chief business development officer, Bank of N.D. (Oct. 2025). Whether the Bank is legally obliged to comply, or has simply chosen to track the federal standards, is the same government-issuer question raised in Part II.B—here answered, in practice, by voluntary compliance.

claimed and the other as a standard to be met. Part VI argues the second instinct is the sounder one.

E. The South Dakota Counterpoint

It is worth pausing on the State that did the opposite. South Dakota has no state-owned bank and no state token. Its recent record runs the other way: in 2024 it enacted statutes barring state agencies from accepting a central bank digital currency and excluding such a currency from its Uniform Commercial Code definition of money; in 2025 and again in 2026 its legislature rejected proposals to invest state funds in bitcoin; and in 2026 it confined its digital-asset legislating to consumer protection, licensing cryptocurrency kiosks and requiring fraud refunds.[55] The neighboring Dakotas thus present a natural experiment in state digital-money policy: one built a wholesale public stablecoin on the back of a century-old public bank, while the other, lacking such an institution and wary of government digital money, legislated against it. The contrast frames the policy question of Part VI—whether the affirmative choice is one other States should imitate, or whether South Dakota's caution is the wiser default.

Before that question can be answered, the two coins must be compared head to head. Table 2 does so across the dimensions that matter for risk and legitimacy.

Dimension	Wyoming — Frontier Stable Token	North Dakota — Roughrider Coin
Issuer	Purpose-built Stable Token Commission (state instrumentality)	Bank of North Dakota (state-owned bank, est. 1919)
Legal basis	Wyoming Stable Token Act, Wyo. Stat. §§ 40-31-101 to -110	Existing bank authority + Industrial Commission action
Backing / reserve	Cash + Treasuries ≤365 days; ≥100% (102% sweep)	Cash + Treasuries ≤93 days; 1:1

[55] *See* S.D. Codified Laws (2024 anti-CBDC enactments, H.B. 1161 and H.B. 1163); H.B. 1202 (2025) and H.B. 1155 (2026) (bitcoin-investment proposals, both failed); S.B. 98 (2026) (cryptocurrency-kiosk licensing and consumer protection), signed by Governor Larry Rhoden on March 11, 2026. Governor Kristi Noem had earlier vetoed a 2023 UCC bill (H.B. 1193) on the ground that it might ease the path to a federal CBDC.

Dimension	Wyoming — Frontier Stable Token	North Dakota — Roughrider Coin
Custody / attestation	Independent manager & custodian; monthly attestation	Held by a financial institution (Fiserv/FIUSD stack)
Rails	Seven public blockchains (LayerZero omnichain)	Closed, permissioned platform (Fiserv FIUSD)
Audience / use	Retail; consumers, payments, remittances, global	Wholesale; in-state banks; interbank settlement
Surplus / yield	To Wyoming School Foundation Program (schools)	Not directed to a public fund; settlement efficiency
GENIUS Act posture	Claims exemption as a sovereign (outside the Act)	Voluntary compliance (within the framework)
Size (mid-2026)	~$0.97M outstanding; <70 holders; live	Pilot; ~10 banks; target Sept. 2026

Table 2. The two models compared.

V. The Risks

The smallness of both coins today should not lull the analysis. The right frame is the one regulators use for any new money-like instrument: what happens at scale, and what happens under stress. This Part catalogs the risks in six clusters—run and reserve, fiscal and sovereign, constitutional, regulatory and monetary-political, illicit-finance and consumer, and operational and governance—flagging throughout how the Wyoming and North Dakota designs fare against each. Table 3 summarizes.

A. Run, Depeg, and Reserve Risk

Every redeemable-at-par instrument is potentially run-prone, and stablecoins are no exception. The recent history supplies two cautionary archetypes. The first is the algorithmic collapse: in May 2022 TerraUSD, an "algorithmic" stablecoin backed not by reserves but by a sister token, lost its peg and spiraled to near-zero within days, erasing tens of billions of dollars in value.[56] The second, and more instructive for a fully reserved coin, is the reserve-quality run: in March 2023, when Silicon Valley Bank failed, Circle disclosed that $3.3 billion of the $42.1 billion reserve backing its USDC stablecoin was trapped at the failed bank, and USDC briefly traded as low as $0.87 before regaining its peg once federal authorities guaranteed the bank's deposits.[57]

The lesson is that over-collateralization reduces, but does not eliminate, run risk. A 102% buffer lowers loss-given-default, but the binding constraint in a panic is whether the reserves can be turned into cash at par fast enough to meet redemptions—a function of asset liquidity and duration, not of the headline ratio. The Federal Reserve's researchers have documented that

[56]Estimates of the value destroyed in the Terra/Luna collapse vary with what is counted; figures of roughly $40–45 billion across the ecosystem are common, with higher numbers reflecting peak combined valuations. The collapse began in earnest on or about May 9, 2022. Neither Wyoming's nor North Dakota's coin is algorithmic; both are fully reserved, which forecloses the Terra failure mode.

[57]*See* Circle, *$3.3 Billion of USDC Reserve Risk Is Now Removed* (Mar. 13, 2023). The episode shows that the danger to a fully reserved coin lies not in the headline reserve ratio but in the *liquidity and credit quality* of the reserve assets and the issuer's ability to redeem at par on demand.

stablecoins, like money market funds, exhibit a discrete "break-the-buck" threshold below which redemptions accelerate into a self-fulfilling run.[58] On this axis the two state coins are comparatively well designed. Both hold only cash and short-dated Treasuries, the most liquid safe assets; Wyoming over-collateralizes and uses an independent custodian; and North Dakota's wholesale, closed model means its "run" would be a coordinated unwind among a handful of supervised banks rather than a retail stampede. The residual risk is real but, for these designs, second-order—provided the reserve rules are honored and the coins stay small enough that redemption logistics are manageable.

B. Fiscal and Sovereign-Immunity Risk

A government issuer raises a risk a private one does not: exposure of the public fisc. Wyoming has tried hard to wall it off. The statute routes all issuance proceeds into a segregated trust, disclaims any fiduciary duty to holders, immunizes the State and its officers, and limits recovery to trust assets; the only general-fund money formally at risk is the modest startup appropriation, which is repayable.[59] Yet two soft exposures survive even careful ring-fencing. The first is operational subsidy: if reserve yields fall below the Commission's operating costs, the general fund must carry it until repaid. The second, and more serious, is the implicit guarantee. However firmly a statute disclaims liability, the political reality is that a State whose branded currency broke its peg would face enormous pressure to make holders whole—the very dynamic

[58] Kenechukwu Anadu et al., *Runs and Flights to Safety: Are Stablecoins the New Money Market Funds?*, Fed. Rsrv. Bank of N.Y. Staff Rep. No. 1073 (Sept. 2023, rev. Apr. 2024). The money-market-fund analogy is apt: the Reserve Primary Fund's "breaking of the buck" in September 2008 triggered a $400-billion-plus run halted only by a Treasury guarantee.

[59] Wyo. Stat. Ann. §§ 40-31-103, -104, -106; *see supra* Part III.A. The token is a special, limited obligation payable solely from the trust; it is expressly *not* backed by the full faith and credit of the State. This ring-fencing is, again, the Wyoming model's great strength.

that led federal authorities to backstop all of Silicon Valley Bank's depositors in 2023, despite the formal $250,000 insurance limit. A legal disclaimer is not a political one.

There is, too, a genuinely unsettled question of remedy: if the peg broke, could a holder sue the State? The Eleventh Amendment generally bars unconsented suits against a State, and contract claims require a waiver of immunity on the waiver's own terms.[60] A holder might therefore find that her token is, in one critic's memorable phrase, "contingent on the good graces, administrative regularity, and discretion of the Wyoming Stable Token Commission"—and that she can "watch [her] due process rights riding off into the sunset."[61] North Dakota's wholesale model contains this exposure better, both because its counterparties are sophisticated supervised banks rather than consumers and because the Bank of North Dakota is a long-established institution with its own balance sheet. But the underlying point holds for both: when the issuer is the sovereign, the ordinary creditor's remedies are uncertain.

C. The Constitutional Question: Bills of Credit

The deepest and most distinctive risk is constitutional, and it has lain dormant for nearly two centuries. Article I, Section 10 provides that "[n]o State shall … coin Money; emit Bills of Credit; make any Thing but gold and silver Coin a Tender in Payment of Debts."[62] Does a State that issues a dollar-denominated token, redeemable at par and intended to circulate as a medium of exchange, "emit Bills of Credit"? The question is not frivolous, and the answer is not obvious.

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[60] *See* U.S. Const. amend. XI; *see also* the "arm of the state" doctrine governing whether a state instrumentality shares the State's immunity. Wyoming's statute effects a partial, asymmetric waiver—the Commission may "sue and be sued," but the State, board, and employees are immunized and recovery is functionally capped at trust assets. Wyo. Stat. Ann. §§ 40-31-103, -104.

[61] Jim Harper, *Will Wyoming Be the Token Seizure State?*, Am. Enter. Inst. (2025). The point sharpens when paired with the issuer's freeze-and-seize capability discussed in Part V.F: a holder whose tokens are frozen by a state instrumentality cloaked in sovereign immunity may have a thinner remedy than a customer of a private issuer.

[62] U.S. Const. art. I, § 10, cl. 1. The Clause was a direct response to the depreciated paper money the States issued under the Articles of Confederation.

The governing precedents are old but never overruled. In *Craig v. Missouri* (1830), Chief Justice Marshall, writing for a divided Court, held that interest-bearing loan-office certificates issued by Missouri were unconstitutional bills of credit, defining the forbidden category in terms that read uncannily like a description of a stablecoin: "[t]o 'emit bills of credit,' conveys to the mind the idea of issuing paper intended to circulate through the community for its ordinary purposes, as money, which paper is redeemable at a future day."[63] Anticipating precisely the argument a State might make today—that a token is not "paper," that a stablecoin is not a "bill"—Marshall warned against reading the Clause to "prohibit names and not things," asking whether the constitutional prohibition could be evaded "by the substitution of a name."[64]

But *Craig* is not the end of the story, and the qualification is what may save the state coins. Seven years later, in *Briscoe v. Bank of the Commonwealth of Kentucky* (1837), a reconstituted Court sharply narrowed the doctrine. Notes issued by a bank that Kentucky wholly owned were held *not* to be bills of credit, because they were the obligations of the bank, payable out of the bank's own funds, and were not issued "on the faith of the State."[65] The synthesized rule is therefore a three-part test—issued by a State, on the faith of the State, designed to circulate as money—and the middle element is the escape hatch. An instrument backed not by the State's credit but by a segregated fund, payable only from that fund, is arguably not emitted "on the faith of the State" at all.

[63]Craig v. Missouri, 29 U.S. (4 Pet.) 410, 432 (1830) (Marshall, C.J.).
[64]*Id.* at 433. The "names not things" admonition is the single most dangerous sentence in the case law for a state stablecoin: it forecloses the easy argument that a digital token is categorically different from the "paper" the Framers had in mind.
[65]Briscoe v. Bank of the Commonwealth of Ky., 36 U.S. (11 Pet.) 257 (1837). Justice Story, who had been with Marshall in *Craig*, dissented. The synthesized test that emerges from the two cases is that an instrument is a forbidden bill of credit only if it is (1) issued by a State, (2) on the faith of the State, and (3) designed to circulate as money.

Read against that test, the Wyoming statute looks less like an accident and more like a brief. FRNT is defined as a claim on "one (1) United States dollar held in trust"; it is a special, limited obligation payable solely from the trust account; and the statute disclaims any pledge of the State's full faith and credit and any fiduciary duty.[66] Each feature pushes the token toward *Briscoe*'s safe harbor and away from *Craig*'s prohibition. North Dakota's coin fits *Briscoe* even more comfortably, because it is issued by a *bank*—the very form the 1837 Court blessed—whose notes are its own obligations, not the State's. The bills-of-credit objection is thus serious but probably surmountable for carefully designed, fully reserved coins; what it forecloses is the careless coin—a token issued on the general credit of a State, or one a State stands behind in fact even while disclaiming it in form.

Two caveats keep the question live. First, the existing commentary is thin and has not joined the issue: the few published treatments either invoke *Craig* without engaging *Briscoe* or argue for constitutionality without confronting either, so the doctrinal work remains to be done.[67] Second, the "coin Money" and legal-tender clauses lurk alongside the bills-of-credit clause: a State that went further—minting something it called money, or making its token receivable for taxes in a way that approached legal-tender status—would raise those provisions too. The constitutional ceiling on state digital money is real; it has simply not yet been tested.

[66] Wyo. Stat. Ann. §§ 40-31-102, -106; *see supra* Parts III.A–B. Whether by design or instinct, the statute tracks the *Briscoe* safe harbor: it does everything possible to characterize the token as a claim on a fund rather than on the credit of the State.

[67] *Compare* Zack Smith, Daily Signal (June 4, 2025) (commentary pressing the *Craig* objection but not addressing *Briscoe*), *with* Jacob T. Metzger, *Wyomingbucks: A Test Case*, U. Cin. L. Rev. Blog (Dec. 4, 2023) (arguing the token is likely constitutional, principally under the "coin Money" clause, without analyzing *Craig* or *Briscoe*). A rigorous application of the two cases to a fully reserved, trust-backed token remains to be written.

D. Federal Fragmentation and the CBDC Irony

Part II described the government-issuer gap; its risk dimension is fragmentation. Because the GENIUS Act disciplines private state-qualified issuers but not state-government issuers, a State that wishes to avoid the federal reserve, disclosure, and certification regime can do so simply by issuing the coin itself. If many States did, the result would be a thicket of public tokens on incompatible rails under inconsistent rules—the digital reincarnation of the antebellum patchwork. The indirect lever the Act retains—its restriction on intermediaries listing non-permitted coins—is untested as applied to a government issuer and may prove either a meaningful check or a dead letter.[68]

Overlying the legal question is a political irony worth naming. The same movement that produced the GENIUS Act also sought to *prohibit* a federal central bank digital currency on privacy and surveillance grounds, by executive order and a House-passed bill.[69] Yet a government-issued, fully reserved retail token that the public uses to pay for things is, functionally, a great deal like the thing the anti-CBDC movement opposes—issued by a government, redeemable in sovereign currency, and equipped (as Part V.F shows) with the very freeze-and-seize capabilities that animate CBDC fears. Critics across the spectrum have noticed, calling the stablecoin framework a "backdoor" to a central bank digital currency.[70] Wyoming's insistence that FRNT is the opposite of a CBDC is not wrong—there is no central bank, no monetary-policy function, full

[68]GENIUS Act § 3(b); *see supra* Part II.B. The uncertainty itself is a cost: neither issuers, intermediaries, nor holders can be sure whether a regulated exchange may lawfully list a state-issued coin over the long run.

[69]*See* Exec. Order No. 14,178 (Jan. 23, 2025) (barring agencies from establishing a CBDC); Anti-CBDC Surveillance State Act, H.R. 1919, 119th Cong. (2025) (passed by the House on July 17, 2025); *cf.* H.R. 5403, 118th Cong. (2024). As of mid-2026 no standalone statutory CBDC prohibition had been enacted, and the GENIUS Act itself does not ban a CBDC.

[70]*See, e.g.,* remarks of Representative Marjorie Taylor Greene (describing the framework as a "backdoor" CBDC "under the guise of privately issued crypto tokens"); Cato Institute commentary ("backdoor CBDC"). The point applies with special force to a *state-government* retail token like FRNT, which is public money in substance while being marketed as the free-market alternative to public digital money.

reserves—but it is in tension with the instrument's public character. The state stablecoin is, at the least, an awkward companion to a federal CBDC ban.

That irony has deeper roots in monetary theory. A substantial body of scholarship has long argued that the soundest public answer to unstable private money is a public one—a digital dollar that households and firms could hold directly at the central bank, variously styled "FedAccounts" or a "public option" for money.[71] The 2025 turn against a federal central bank digital currency foreclosed that first-best answer on privacy and surveillance grounds, leaving private stablecoins—and now state-issued ones—as the de facto providers of digital public money. The state stablecoin is, in this light, less a considered design than the accidental residue of a politics that ruled out the obvious alternative: a public option that arrives through the back door of federalism rather than the front door of national design. That it works as well as it does in Wyoming and North Dakota is a tribute to those States' care, not proof that the back door is the right way in.

E. Illicit Finance, Sanctions, and Consumer Protection

Stablecoins on public chains raise the standard anti-money-laundering and sanctions concerns, and the federal response has been gathering force. The GENIUS Act treats permitted issuers as "financial institutions" under the Bank Secrecy Act, and in the spring of 2026 the Financial Crimes Enforcement Network and the Office of Foreign Assets Control jointly proposed rules requiring issuers to maintain anti-money-laundering and sanctions-compliance programs.[72] The sanctions dimension is double-edged. A centralized stablecoin issuer can *freeze* tokens—as

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[71] *See* John Crawford, Lev Menand & Morgan Ricks, *FedAccounts: Digital Dollars*, 89 Geo. Wash. L. Rev. 113 (2021); Morgan Ricks, *The Money Problem: Rethinking Financial Regulation* (2016); *see also* Mehrsa Baradaran, *How the Other Half Banks* (2015) (postal banking as a public alternative). This public-option literature is the natural counterpoint to both private and state-issued stablecoins.

[72] *See* Fin. Crimes Enf't Network & Off. of Foreign Assets Control, Notice of Proposed Rulemaking (Apr. 2026) (proposing AML/CFT and sanctions-compliance program requirements for permitted payment stablecoin issuers, with suspicious-activity reporting keyed to the primary market). A government issuer claiming exemption from the GENIUS Act would face the awkward question whether it is nonetheless bound by these BSA obligations, which rest on independent authority.

Circle did within hours of the 2022 sanctioning of the Tornado Cash mixer, while Tether declined—which makes a stablecoin more controllable than bitcoin but also hands the issuer a censorship power.[73] When the issuer wielding that power is a State, the civil-liberties stakes—and the due-process questions flagged above—are heightened.

On consumer protection, the gap is structural. A stablecoin is not a security, not a commodity, and not FDIC- or SIPC-insured; the GENIUS Act forbids issuers even to imply a government backstop. The Act does attempt a resolution regime—amending the Bankruptcy Code to make reserves bankruptcy-remote and to grant holders priority—but a leading bankruptcy scholar has argued that the priority is largely illusory, because it operates only on unsecured claims and leaves holders effectively fifth in line, behind secured, debtor-in-possession, and administrative claimants.[74] For a state issuer the resolution question is murkier still: a state instrumentality may not be a debtor under the federal Bankruptcy Code at all, leaving the winding-up of a failed state coin to state law and ad hoc political judgment—precisely the uncertainty a resolution regime is supposed to remove.

F. Operational, Smart-Contract, and Governance Risk

Finally, there are the mundane but consequential risks of actually running the thing. A small state agency issuing money across public blockchains must outsource nearly the entire technology stack—Wyoming relies on separate vendors for omnichain issuance, custody and key management, reserve management, and blockchain analytics—so that each function becomes a

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[73]On the Tornado Cash episode, *see* Van Loon v. Dep't of the Treasury, 122 F.4th 549 (5th Cir. 2024) (holding immutable smart contracts are not "property" blockable under the International Emergency Economic Powers Act); OFAC delisted Tornado Cash on March 21, 2025. The freeze power is examined as an operational and civil-liberties risk in Part V.F.

[74]*See* Adam J. Levitin, *Sorry to Break It to You Geniuses: Under the GENIUS Act the Holders of Stablecoins Actually Have Fifth Priority in an Issuer Bankruptcy*, Credit Slips (Dec. 2, 2025); *see also* Adam J. Levitin, *Not Your Keys*, *supra*; Kara J. Bruce, Christopher K. Odinet & Andrea Tosato, *Stablecoins in Bankruptcy* (forthcoming Ariz. St. L.J.). Levitin's deeper point is that "you can't really recreate the equivalent of bank money without the backing of the state via deposit insurance."

distinct third-party point of failure.[75] Operating on seven blockchains, moreover, multiplies the attack surface; the history of cross-chain bridges is a catalog of nine-figure hacks—Ronin (about $625 million), Poly Network (about $610 million), Wormhole (about $320 million), Nomad (about $190 million).[76] The mint, burn, and freeze keys that compliance requires are themselves a high-value target and a censorship capability—the operational face of the seizure concern raised above.

The subtlest risk is governance. A small, politically composed body that runs large procurements and directs the resulting yield to a popular cause—public schools—has a built-in incentive to grow the float, and a structure in which the officials who oversee the program also manage the State's investment funds invites exactly the conflict-of-interest and capture concerns the critical coverage has pressed.[77] North Dakota's reliance on an established bank, with its own supervisory history and a wholesale counterparty base, mitigates several of these operational and governance risks—but introduces its own, including dependence on a single payments-technology vendor and the politics of an Industrial Commission not uniformly enthusiastic about the venture. Table 3 collects the clusters.

Risk	How the models address it	Residual concern
Run / depeg	Full reserves in cash + short Treasuries; Wyo. 102% buffer; N.D. wholesale, closed	Liquidity, not ratio, binds in a panic; implicit-guarantee pressure
Fiscal / sovereign	Ring-fenced trust; no full faith and credit; immunity; repayable seed funds	Political pressure to backstop; uncertain holder remedy vs. the State

[75] *See supra* Part III.B. The Commission's vendors include LayerZero (omnichain issuance), Fireblocks (custody and role-based mint/burn/freeze keys), Franklin Templeton and Fiduciary Trust (reserves and custody), and Chainalysis (analytics). Concentrating these functions in private vendors is unavoidable for a small agency but multiplies operational dependencies.

[76] *See, e.g.,* post-mortems of the Ronin (Mar. 2022), Poly Network (Aug. 2021), Wormhole (Feb. 2022), and Nomad (Aug. 2022) exploits. Wyoming's omnichain design avoids the lock-and-mint wrapped-token bridges responsible for several of these, but it shifts rather than eliminates the trust placed in a cross-chain verification network.

[77] *See From Cattle to Crypto*, *supra*; *supra* Part III.D. The incentive to maximize circulation (and thus interest income for schools) sits in tension with the prudential instinct to keep the float small and manageable—a tension best resolved by external, independent oversight. There appears to be no peer-reviewed scholarship specifically on the governance of state-issued stablecoins, itself a measure of the field's novelty.

Risk	How the models address it	Residual concern
Constitutional (bills of credit)	Token framed as claim on a fund, not on the State's faith (Briscoe)	Untested; "names not things" (Craig); coin-Money / tender clauses lurk
Fragmentation / CBDC	Each design internally coherent; N.D. tracks federal standards	Incompatible rails at scale; awkward fit with the federal CBDC ban
Illicit finance / consumer	BSA programs; freeze capability; monthly attestation; no public-backstop claims	Resolution priority may be illusory; state issuer may be non-bankruptcy-eligible
Operational / governance	Independent custody/attestation (Wyo.); established bank (N.D.)	Vendor concentration; bridge/key risk; capture and conflict incentives

Table 3. Risk clusters, mitigants in the Wyoming and North Dakota models, and residual concerns.

VI. What Should Be Done—and Should Other States Follow?

The foregoing analysis supports two kinds of conclusions: prescriptive principles for designing a state stablecoin well, and a normative judgment about whether States should be designing them at all. This Part offers both, and then answers the question the project ultimately poses.

A. Design Principles for the States That Proceed

A State determined to issue a stablecoin should, at a minimum, build in the safeguards that Wyoming and North Dakota have largely—though not entirely—adopted. Reserves should be confined to cash and the shortest-dated Treasuries and held by an *independent* custodian, not self-custodied, with frequent public attestation; Wyoming's monthly, independently attested, over-collateralized trust is the model here.[78] The token should be a strictly limited obligation payable solely from the reserve fund, with no pledge of the State's full faith and credit—both to protect the fisc and to stay within the *Briscoe* safe harbor. Capital and liquidity should be scaled to the float and to operational and run risk rather than fixed at a token sum, and no general-fund money should be exposed beyond a repayable, capped appropriation.

Beyond the balance sheet, three governance safeguards matter. There should be a real resolution plan—a predefined, legally tested path for winding the coin down and paying holders from the segregated reserves—settled *before* the first stress event, not improvised during one. There should be independent oversight insulated from the incentive to maximize the float, and conflict-of-interest rules for officials who both run the program and manage the State's other funds. And there should be a sunset-and-review mechanism: a state coin should be authorized as a time-

[78] *See supra* Part III.B. Independent custody and attestation are the single most important reserve-side safeguards, because they address the reserve-quality run that felled USDC's peg in 2023 and the self-dealing risk that has plagued less scrupulous private issuers.

limited pilot, with periodic legislative reauthorization conditioned on demonstrated public benefit and safety, not as a permanent fixture adopted in a single enthusiastic session.[79] North Dakota's wholesale, supervised-counterparty model and Wyoming's independent custody each capture part of this; neither captures all of it.

B. Federal Clarification

The federal government, for its part, should close the government-issuer gap rather than leave it to litigation. Congress could do so cleanly—either by bringing state-government issuers within a tailored version of the GENIUS Act's prudential standards (reserves, disclosure, resolution) while respecting their sovereign status, or by expressly confirming the exemption and substituting federal monitoring of systemic risk through the Financial Stability Oversight Council.[80] The Federal Reserve's evolving thinking on payment-system access is also relevant: Governor Waller's proposal for a limited, no-overdraft, no-interest "skinny" master account could, if extended on defined terms, give a fully reserved state issuer direct settlement access while imposing supervised conditions—a more coherent answer than the current binary in which an issuer either holds reserves at a commercial bank or not at all.[81] All of these are second-best repairs. The first-best response to the demand these coins serve—a public digital dollar of the sort sketched

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[79]*See supra* Part V.B, V.E–F. The resolution gap is especially acute for a state issuer, which may fall outside the federal Bankruptcy Code; a State should specify by statute how a failed coin is wound down and how holders reach the reserves.

[80]*See* GENIUS Act § 2(24), § 3(b); *supra* Part II.B. Either path is preferable to the present silence, which leaves issuers, intermediaries, and holders guessing whether and how the Act applies. A systemic-risk monitor for large state issuers would address the principal externality—contagion from a failed coin—without federalizing small experiments.

[81]*See* Christopher J. Waller, Governor, Fed. Rsrv. Bd., remarks proposing a limited "skinny" master account (Oct. 21, 2025). The courts have meanwhile confirmed that Reserve Banks retain discretion to deny master accounts to novel applicants. Custodia Bank, Inc. v. Bd. of Governors of the Fed. Rsrv. Sys., No. 24-8024 (10th Cir. Oct. 31, 2025), reh'g en banc denied (Mar. 13, 2026). The FDIC, for its part, has indicated that payment stablecoins are ineligible even for pass-through deposit insurance.

in Part V.D—remains politically off the table, which is precisely why the design of the state experiments, and the federal rules that bound them, deserve the care this Part urges.

C. Should Other States Follow?

Which brings the analysis to the question this study set out to answer. Should other States follow Wyoming and North Dakota? The honest answer, defended by everything above, is: for most States, no—though not because the idea is illegitimate or the existing coins are reckless.

Begin with the case *for* replication, which is weaker than it first appears. The revenue rationale is real but modest and contingent: it depends on achieving a float orders of magnitude larger than anything yet demonstrated—recall that FRNT, after a decade of groundwork and a high-profile launch, holds under a million dollars—and on interest rates that may not persist.[82] The payments-efficiency rationale is genuine for North Dakota's wholesale use case but largely redundant for retail, where the GENIUS Act has now licensed a competitive field of well-capitalized private issuers whose coins do everything a state retail coin would do, at greater scale and without state fiscal or constitutional exposure. And the ideological rationale—a state coin as the alternative to a federal CBDC—is, on inspection, half-contradictory, since the state coin is itself government digital money.

Now the case *against*, which is stronger. First, the marginal public benefit is thin precisely because the federal framework now exists: the chief argument for state action in 2022 and 2023—that no one else was providing a regulated dollar token—has been overtaken by the GENIUS Act. Second, the risks catalogued in Part V are real and, for a State without Wyoming's decade of preparation or North Dakota's century-old bank, hard to manage: the fiscal and sovereign-immunity exposure, the unresolved constitutional question, the operational and governance

[82] *See supra* Part III.C and Figure 2. The gap between the Commission's base-case projection and live usage is roughly five hundredfold; the revenue case rests on closing most of it.

hazards. A State that issues a coin casually—on its general credit, without independent custody, without a resolution plan—courts exactly the failure modes a careful design avoids. Third, and most fundamentally, the proliferation of state coins threatens the public good that the nineteenth century paid dearly to secure: a uniform national currency. Fifty state tokens on incompatible rails, under inconsistent rules, with divergent freeze authorities, would be a step back toward the fragmentation the National Bank Acts cured—without, this time, the discipline the GENIUS Act imposes on private issuers.[83]

The conclusion is therefore differentiated rather than absolute. Wyoming's model—narrow, fully reserved, independently custodied, surplus directed to a public good, hedged against the constitutional objection—is the most defensible state retail stablecoin one could design, and it deserves to be watched as a controlled pilot rather than condemned or copied. North Dakota's model is the better justified of the two: it solves a real wholesale problem, leans on an institution built for the purpose, exposes no consumers, and chooses compliance over exemption. But "the best-designed version of a thing" and "a thing every State should do" are different propositions. For the median State—without a state-owned bank, without a mature digital-asset bar, without a decade of institutional learning—the prudent course is South Dakota's caution, not Wyoming's ambition: to regulate private issuers under the federal framework, to protect consumers, and to let the Wyoming and North Dakota experiments run long enough to show whether the public benefit is worth the public risk.

[83] *See supra* Part I.B, Part V.D; Krause, *Risk of Digital Fragmentation*, *supra*. The fragmentation externality is the strongest systemic argument against general replication: each State's coin may be individually sound while the aggregate undermines monetary uniformity.

Conclusion

The state-issued stablecoin is the most consequential development in American monetary federalism since the Civil War, and it has arrived almost unnoticed by the legal literature. In the space of a single year, Wyoming put a redeemable dollar token into public circulation and North Dakota built one to settle payments among its banks, each made possible by a federal statute that legitimized the private stablecoin and, through a quiet definitional choice, declined to govern the public one. The two coins are small today—FRNT astonishingly so—but the questions they raise are not. They are questions of whether a State may constitutionally emit a digital bill of credit, whether it can do so without exposing its treasury or its citizens, whether fifty such experiments would fracture the uniform dollar, and whether a government should be issuing money the same season it bans the federal government from doing the same.

This Article has argued that the careful designs Wyoming and North Dakota have built—full reserves, independent custody, limited obligations payable from segregated funds, surplus to public schools, wholesale confinement—answer many of those questions tolerably well, and that the bills-of-credit objection, though serious, is probably surmountable for a coin engineered to rest on a fund rather than on the faith of the State. But it has also argued that designing a state stablecoin well and proliferating state stablecoins widely are different things, and that the case for the second is weak. With the GENIUS Act now supplying a robust federal framework for private issuers, the marginal benefit of a state coin is thin, its risks are real, and its multiplication would threaten the monetary uniformity the nation once fought to secure. The two Dakotas frame the choice precisely: North Dakota's disciplined wholesale experiment and Wyoming's careful retail one are laboratories worth watching; South Dakota's restraint is the wiser default for the rest. The task for Congress is to close the government-issuer gap before the next State issues a coin less carefully than these two; the task for the States is to resist the temptation to treat a Wyoming or a North Dakota as a template before the experiment has run its course.